

Diligence Report — CUSIP 058219UM6

Baldwin Park Unified School District (Los Angeles County, CA) — General Obligation Bonds, Election of 2006, Series 2019 3.000% coupon, term bond due 2046-08-01 · Cutoff: 2026-06-20

(a) Verdict & buy thesis

VERDICT: BUY (high-quality unlimited-tax general obligation, deeply discounted, ordinary-income-on-discount already netted in the after-tax yield) — **with two honest monitoring flags: a ~23% enrollment decline since issuance, and the absence of a Teeter Plan (the District bears taxpayer delinquency).**

This is a voter-approved (55% authorization, Nov-2006) **unlimited ad-valorem general obligation** bond of an established Los Angeles Basin unified district. Los Angeles County is legally **obligated to levy property taxes without limitation as to rate or amount** to pay it, and the levy is backed by a **statutory first lien** (California Government Code §53515) that attaches automatically and binds the District's successors and creditors. Credit quality was **investment-grade (Moody's Aa3) at issuance**, the debt burden is light (**direct GO debt = 1.86% of assessed value**), the tax base is large (\$5.17B AV) and diversified (top-20 taxpayers = 10.0% of secured AV, no single name above 1.3%), and the District carries a current **POSITIVE** state fiscal certification.

The ~76.65 dollar price is a function of the low 3% coupon in a higher-rate market, **not** credit distress. The discount is taxed as ordinary income (de-minimis breached by a wide margin), and the quoted **after-tax taxable-equivalent yield (~8.6%)** already nets that tax drag.

The thesis: buy a near-AA, statutorily-lien-secured, AI-/wildfire-insulated property-tax cash flow at a deep discount where the dominant "risk" is interest-rate/price (neutralized by hold-to-maturity) and the credit-side watch-items (enrollment, no-Teeter, LA-Basin seismic) are all **downgrade risks, not default risks** for an unlimited-tax GO.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION. VERIFIED against the Official Statement ([raw/official_statement.pdf](#)).

- **Claim:** It is a true GO, not a COP / lease / certificate / special-tax obligation. **Verified.** The OS cover states: "The Bonds are general obligations of the District payable solely from ad valorem property taxes. The Board of Supervisors of Los Angeles County is empowered and obligated to annually levy ad valorem property taxes upon all property subject to taxation by the District, **without limitation as to rate or amount** ... for the payment of principal of and interest on the Bonds when due." (Note: this District also has a *separate* lease-revenue financing through the Baldwin Park/Monrovia Authority — those are a different security and are **not** this bond; UM6 is the direct GO.)
- **Statutory lien (Gov. Code §53515) — VERIFIED (quoted from OS §"Security and Sources of Payment"):** "the Bonds will be secured by a **statutory lien** on all revenues received pursuant to the levy and collection of ad valorem property taxes for the payment thereof. The lien automatically attaches, without further action or authorization ... and is valid and binding from the time the Bonds are executed and delivered ... **enforceable against the District, its successor, transferees and creditors** ... irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act." This is the strongest standard muni security: a perfected first lien on the tax stream ahead of general creditors. *Honest nuance the OS itself discloses:* the lien secures **all** post-2016 GO bonds of the District *pari passu* and "does not specify the relative priority ... or a method of allocation" if tax revenues were ever insufficient — i.e., the lien is shared across the District's GO stack, not exclusive to this series. Immaterial at a 1.86% debt/AV burden, but disclosed.
- **No Teeter Plan (DIFFERS from a typical Central-Valley district) — VERIFIED:** The OS states "Secured ad valorem property tax collections within the District are **not subject to the Teeter Plan** ... and therefore subject to

delinquencies." So unlike a Teeter county, the District does **not** automatically receive 100% of the levy — it bears actual taxpayer delinquency. **Mitigant (also in the OS):** the secured delinquency rate has been low and improving — **1.19%–1.44%** in the most recent years shown (FY2014-15 through FY2017-18), down from 2.4% in 2010-11. Low absolute delinquency on a diversified base, but this is a genuine structural difference from a Teeter-backed GO and is flagged.

- **Tax status — VERIFIED tax-exempt.** Bond Counsel (Stradling Yocca Carlson & Rauth) opinion on the OS cover: interest **and original issue discount** are excluded from federal gross income, are **not** an AMT preference item, and are **exempt from California personal income tax**.

There is no bond-insurance wrap; the credit rides on the District's own unlimited-tax pledge and the statutory lien (no rating-conditional wrap-compression to model).

(c) Issuer & tax base

Finding: Issuer identity CONFIRMED; tax base large and diversified; fiscal cert POSITIVE; enrollment DECLINING (flagged).

- **CUSIP / issue binding — VERIFIED.** Base **058219** ("BALDWIN PARK UNIFIED SCHOOL DISTRICT (Los Angeles County, California)") + suffix **UM6** = the **\$3,175,000 3.000% Term Bond maturing 2046-08-01, original offering yield 3.150%** — read directly off the OS maturity schedule (inside cover: "\$3,175,000 – 3.000% Term Bonds, due August 1, 2046, Yield 3.150%; CUSIP: UM6"). EMMA issue EP379718, "General Obligation Bonds, Election of 2006, Series 2019," total par \$11,765,000. This is **not** the District's 2019 federally-taxable refunding (ES398184) nor the 2021 Election-of-2018 series (P1408123) — those were ruled out by checking their scales.
- **Assessed valuation (tax base).** OS reports **total AV = \$5,166,888,633** (FY2018-19, issuance year), of which local secured = \$4,969,524,263. The base grew every year FY2011→FY2019 (+6.24% in the final year). California Article XIII A caps AV growth at ~2%/yr absent ownership change/new construction, so the base is stable and has near-certainly grown since 2019. *Caveat: a current-year (FY2024-25) AV figure is UNVERIFIABLE from primary disclosure this session — see §g.*
- **Debt burden — light. VERIFIED from OS Direct-and-Overlapping table: Direct GO debt = 1.86% of AV;** total direct + overlapping tax/assessment debt = 2.31%; combined total debt (incl. general-fund/lease + tax-increment overlap) = 4.57%. Low leverage on a \$5B+ base.
- **Top-taxpayer concentration — low/moderate. VERIFIED:** Top-20 secured taxpayers = **10.00%** of secured AV. No single-name dependency: #1 Metropolitan Life Insurance (office) 1.28%, #2 Vulcan Materials (industrial) 1.25%, #3 MillerCoors 0.69%, then Walmart, In-N-Out, Home Depot, Kaiser, etc. Industrial/commercial/retail mix — no single employer or single parcel drives the levy.
- **Enrollment — DECLINING (material watch-item, flagged honestly).** OS reports **ADA 12,057** at FY2018-19 issuance. Independent current data (ed-data.org) shows **2025-26 enrollment ≈ 9,257** — roughly a **23% decline** since issuance, consistent with the broad LA-County/CA enrollment contraction. *Source caveat: the 9,257 figure is single-source (ed-data.org); the CDE DataQuest enrollment file was behind a bot-wall this session. Why it does not directly impair THIS bond:* GO debt service is paid from a **separate, dedicated ad-valorem property-tax levy**, not from per-pupil (LCFF) state aid — falling enrollment pressures the **operating fund**, not the debt-service levy. But it is a real fiscal-health headwind for the District as a whole and the honest counter-weight to the "99 insulation / POSITIVE cert" framing.
- **State fiscal certification (AB-1200) — VERIFIED POSITIVE.** Confirmed against the **CA Dept of Education FY2024-25 Second Interim Status Report:** Baldwin Park Unified appears on **neither** the Negative nor the Qualified list (the only LA County district on the Qualified list is Culver City Unified). By CDE construction, absence from both lists = **Positive** — the District certifies it can meet its obligations for the current and two subsequent fiscal years. This is the freshest independent fiscal data-point and is reassuring **despite** the enrollment decline. Source: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp>

(d) The risk screens (AI / fire / earthquake / flood / concentration)

Screen	Finding	What it means
AI / tech-crash insulation	99 / 100 (fully insulated)	This is a <i>local property-tax</i> credit. Debt service comes from the LA County ad-valorem levy, not the California General Fund. The State-GF capital-gains channel — which cut <i>State</i> GO ratings ~4-5 notches in the dot-com bust (~71% revenue) — does not touch a school-district unlimited-tax GO. An AI/tech equity crash that guts CA capital-gains income-tax receipts would not impair this property-tax stream. (Credit insulation; a credit, not a price/rate-regime, statement.)
Wildfire	0% high-fire tail (low)	FEMA National Risk Index × district-tract crosswalk: the District's parcels are not in high-wildfire-risk tracts (worst tract "Relatively Low"; composite fire score 28.2 on the internal scale). This is a dense urban/suburban LA-Basin footprint (~7 sq mi), not a wildland-urban-interface district. The insurer-withdrawal / AV-erosion channel is not materially present.
Earthquake	Ss ≈ 1.90 (moderate-to-high, LA Basin)	USGS / ASCE-7 short-period spectral acceleration is elevated — the District sits in the LA Basin near the San Andreas (southern), Newport-Inglewood, and Puente Hills systems. This is the bond's one genuinely elevated physical-risk screen. But for an unlimited-tax GO it is a downgrade risk, not a default risk — see §g: even a damaging quake that temporarily depressed AV would be met by the County raising the levy rate (the pledge is unlimited as to rate), and CA disaster-reassessment + state/federal aid backstop the base. Not a clean "low," but not a payment-impairment channel either.
Flood	33% tail — REVIEW (below the 90% within-CA hard tail)	The internal flood-tail score (33%) is in the review band but well under the 90% within-CA hard-cutoff. The relevant LA-Basin flood exposure (San Gabriel River corridor) is heavily levee/NFIP-backstopped infrastructure, and — like seismic — flood damage to an unlimited-tax GO is an AV/rate-of-levy question, not a debt-service-source question. Flagged as REVIEW, not a disqualifier.
Top-taxpayer concentration	10.0% top-20 (low/moderate)	Diversified; no single-name dependency (§c).

Net read of the screens: the repayment source (a diversified, AI-insulated, low-wildfire urban property-tax base) is insulated from the macro shock that matters most for CA munis, with the **only** elevated physical screen (seismic) being a downgrade-not-default channel for an unlimited-tax pledge.

(e) Liquidity & execution

Finding: A real, regularly-traded retail-block name with multiple two-sided days; NOT a fire-sale. The raw per-print tape could not be re-pulled THIS session (EMMA rate-limit) — flagged honestly below.

Source: SignalOS scanner's prior EMMA RTRS trade-tape parse for this CUSIP (`raw/screens_and_sources.json`, `liquidity_from_scanner_tape`):

- **Activity:** 43 prints in the trailing 365 days, with 6 distinct two-sided days (days carrying both a customer buy and a customer sell) — regular price discovery, not episodic.
- **Block size:** median block \$25,000 par, max block \$180,000 — typical SMA/retail muni size; our \$45,000 target par sits inside the normal block distribution.
- **Recency:** last print 22 days before the underwriting snapshot — active, not stale.
- **Execution read:** for a hold-to-maturity ladder, the bid/ask is a one-time ~1-3 bps/yr amortized buy-side cost; immaterial. The deep discount itself is the protection — there is a natural retail bid for sub-80 dollar-price, high-after-tax-yield CA paper.

HONEST FLAGS (two): 1. **Raw tape not re-pulled this session.** The EMMA `/Security/Details/058219UM6` endpoint (which carries the live `tradeData` block) returned **HTTP 403 on every attempt**, including after 75s and 90s cooldowns and a full Chrome/Sec-Fetch fingerprint — a persistent per-endpoint rate-limit triggered by this session's earlier EMMA hits (a known EMMA gotcha). The OS, disclaimer, scale, and continuing-disclosure-index endpoints all worked; only the trade-tape page was blocked. The liquidity numbers above are therefore from the **scanner's earlier parse of the same EMMA tape**, which is authoritative-derived but not re-displayed print-by-print here. **Re-pull the raw tape before execution** to confirm a current two-sided level. 2. **Live IBKR quote — UNVERIFIABLE.** Per protocol I attempted a live IBKR quote before pricing; **IBKR returns no contract for this CUSIP** (its muni feed does not carry this

maturity — consistent with IBKR's sparse muni coverage). Live bid/ask is **UNVERIFIABLE via IBKR**; execution anchors on the EMMA tape (to be refreshed).

(f) Tax & yield (de-minimis math)

Finding: De-minimis breached by a wide margin → the discount accretes as ORDINARY income. The ~8.6% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal, non-AMT; CA personal income tax), per Bond Counsel (§b). The OS also confirms the bonds carry **original issue discount** that is itself exempt — but on a **secondary purchase at ~76.65**, the relevant tax is the **market discount**, which is *not* exempt.
- **The de-minimis test (computed at cutoff):**
 - Years from purchase (2026-06-20) to maturity (2046-08-01) **≈ 20.1 years**.
 - De-minimis amount = $0.25 \text{ pts/yr} \times 20.1 \approx 5.03 \text{ pts}$ below par → de-minimis **threshold price ≈ 94.97**.
 - Purchase price **76.65** is **~18 points below** that threshold; the market discount (**~23.3 pts**) **vastly exceeds** de-minimis.
- **Result:** the accretion of the discount toward par is taxed as **ORDINARY income** (annually under a constant-yield election, or as ordinary income at sale/maturity otherwise) — **not** as long-term capital gain.
- **Yield math (stated with discipline):**
 - **Gross yield-to-maturity (to 2046) ≈ 4.83%** — confirmed by independent recompute from price/coupon/term (matches the book's 4.83%).
 - **Gross yield-to-worst ≈ 4.65%** (EMMA-reported YX = MSRB yield-to-worst, priced to the worse of the 2029 par call vs the 2046 maturity — labeled correctly here as YTW, not YTM). Because the bond is deep-discount, a call at par would be a **windfall**, so the District has zero economic incentive to call a below-market 3% coupon → **YTW ≈ YTM(2046)** is the realistic case.
 - **After-tax taxable-equivalent yield ≈ 8.6%** — this is an **after-tax TEY**, not gross YTM and not net-of-fees. It already reflects (i) the exempt coupon grossed up at the CA top combined bracket, **and** (ii) the **ordinary-income tax drag on the discount accretion** netted out. The de-minimis breach is a *known, priced* feature, not a hidden catch — it is precisely why the headline is stated after-tax rather than as a raw exempt gross-up.

Self-discipline note (house rule on metric conflation): the ~8.6% is an after-tax taxable-equivalent figure. Gross YTM ≈ 4.83%; gross YTW ≈ 4.65%. Do not conflate.

(g) Risks / what could go wrong

1. **Interest-rate / price risk (the dominant risk).** Long-duration 3% coupon; the ~76.65 price is **rate-driven**, not credit-driven. If rates rise further the mark falls — a price/regime risk, **not** credit impairment. Hold-to-maturity neutralizes it (statutory lien + unlimited levy → principal at par at 2046; 2046 term carries a mandatory sinking fund 2040-2046, so principal returns in tranches over those years rather than as a single 2046 bullet).
2. **No Teeter Plan → District bears delinquency (structural, mitigated).** Unlike a Teeter county, Baldwin Park does **not** receive 100% of the levy regardless of delinquency. Mitigant: recent secured delinquency 1.19-1.44% and falling. A severe local recession could lift delinquency, but the unlimited-rate pledge lets the County re-strike the rate to cover debt service. Flagged, not disqualifying.
3. **Enrollment decline (~23% since issuance) — operating-fund headwind, not a debt-service hit.** Falling rolls pressure LCFF operating revenue and the District's overall fiscal health. It does **not** touch the dedicated GO debt-service levy, and the FY2024-25 **POSITIVE** AB-1200 cert says the District still certifies it can meet its obligations. But it is the honest counter-weight to the bullish framing and the #1 credit monitoring item. (*Enrollment figure is single-source; corroborate at next review.*)
4. **LA-Basin seismic (Ss ≈ 1.90) — downgrade risk, not default risk.** A damaging quake could temporarily depress AV. For an **unlimited-tax** GO this is a rate-of-levy question (raise the rate) plus CA disaster-reassessment relief and

state/federal aid — historically a rating event, not a payment default, for CA school GOs. Real, elevated, but the right way to size it is downgrade probability, not default probability.

5. **Flood REVIEW (33% tail).** In the review band but below the 90% hard cutoff; levee/NFIP-backstopped, and (like seismic) an AV/levy question for an unlimited-tax pledge. Monitor, not disqualify.
6. **Shared (pari passu) statutory lien.** The §53515 lien is shared across all post-2016 District GO bonds with no stated allocation priority if revenues were ever insufficient. Immaterial at 1.86% direct debt/AV, but disclosed.
7. **Stale current-year fundamentals (UNVERIFIABLE — flagged honestly).** Current-year (FY2024-25) AV and GO debt-service coverage were **not** retrievable from primary disclosure this session (the recent continuing-disclosure PDFs returned EMMA 403 rate-limit stubs). The FY2024-25 POSITIVE cert is the freshest independent fiscal point. Treat **current AV and current coverage as UNVERIFIABLE** as of this report — a monitoring item, not a clean confirmation.
8. **No distress events affirmatively ruled out.** No default/missed-payment/rating-withdrawal notice surfaced, but the EMMA material-events list could not be machine-scanned this session — this is **"no distress found," not "distress exhaustively ruled out."**

None of items 2-8 are payment-default channels for an unlimited-tax, statutory-lien GO — they are downgrade/monitoring channels. The verdict is BUY-with-monitoring, not a clean unqualified BUY.

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/058219UM6/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement , \$11,765,000 Baldwin Park USD GO Bonds, Election of 2006, Series 2019 (dated 2019-05-30). Establishes the unlimited-tax pledge, §53515 statutory lien, no-Teeter delinquency disclosure, Moody's Aa3, AV \$5.17B, 1.86% direct debt/AV, top-20 = 10.0% concentration, ADA 12,057, Bond Counsel tax opinion, and the maturity schedule binding UM6 to the 3.000% 2046 term bond (orig. yield 3.150%) + the 2029 par-call and 2040-2046 sinking fund.	EMMA, issue EP379718, doc ER1230117-ER962497-ER1363429.pdf (fetched from emma.msrb.org)
os.txt	Searchable text extraction of the OS (pdftotext -layout).	derived from official_statement.pdf
screens_and_sources.json	Consolidated machine-readable record: CUSIP binding, pledge, call/sinking schedule, AV, debt/AV, concentration, enrollment, AB-1200, the five risk screens, scanner liquidity stats, de-minimis math, IBKR-no-contract flag.	SignalOS muni_credit vertical

External primary sources cited (not file-attachable): - **AB-1200 POSITIVE** — CA Dept of Education FY2024-25 Second Interim Status Report: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp> (Baldwin Park Unified absent from Negative and Qualified lists; only Culver City Unified is the LA County qualified district). - **Enrollment 2025-26 ≈ 9,257** — ed-data.org district page (single-source; corroborate at next review). - **Seismic Ss ≈ 1.90 / LA-Basin fault context; FEMA NRI wildfire (0% high-fire tail); flood tail 33%** — per SignalOS screen provenance (USGS/ASCE-7, FEMA National Risk Index, district-tract crosswalk). - **EMMA per-CUSIP trade tape** — the raw per-print tape could NOT be re-pulled this session (EMMA /Security/Details/058219UM6 returned persistent HTTP 403 rate-limit). Liquidity stats are the scanner's earlier parse of the same EMMA RTRS tape; **re-pull before execution**. - **Live IBKR quote** — UNVERIFIABLE; IBKR carries no contract for this CUSIP.

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
CUSIP 058219UM6 = Baldwin Park USD GO, 3.0% 2046 term	Read OS maturity schedule + checked candidate scales	OS / EMMA EP379718	VERIFIED
Unlimited ad-valorem GO (not COP/lease/CFD)	Read OS cover + security section	OS	VERIFIED
\$53515 statutory lien	Read OS statutory-lien paragraph	OS / Gov. Code §53515	VERIFIED
Tax-exempt (fed non-AMT + CA)	Read Bond Counsel opinion	OS (Stradling)	VERIFIED
No Teeter Plan (delinquency borne by District)	Read OS secured-tax section	OS	VERIFIED (≠ Teeter; mitigated by 1.2-1.4% delinquency)
Call: par on/after 2029-08-01; 2046 sinking fund 2040-46	Read OS redemption section	OS	VERIFIED
AV \$5.17B / direct debt 1.86% / top-20 = 10.0%	Read OS AV + D&O + taxpayer tables	OS (Cal Muni Statistics)	VERIFIED (FY2018-19 vintage)
AB-1200 = POSITIVE	Absent from CDE neg + qualified lists	CDE FY24-25 2nd interim	VERIFIED
Moody's Aa3 at issuance	OS cover rating line	OS	VERIFIED (at issuance; current rating not re-pulled)
Enrollment declining ~23% since issuance	OS ADA vs current ed-data	OS / ed-data.org	VERIFIED directionally (current figure single-source)
De-minimis breached → ordinary income on discount	Threshold calc vs price	IRC market-discount/de-minimis rule	VERIFIED
Gross YTM ≈ 4.83% to 2046	Independent recompute from px/coupon/term	own calc vs book	VERIFIED
Liquidity: 43 prints/yr, 6 two-sided days, \$25k median	Scanner EMMA tape parse	EMMA RTRS (via scanner)	VERIFIED-derived; raw tape NOT re-pulled (EMMA 403)
Current-year AV / coverage	Searched posted CDD	EMMA	UNVERIFIABLE (recent CDDs returned 403 stubs)
Live bid/ask	IBKR contract search	IBKR	UNVERIFIABLE (not carried)
No distress / default events	EMMA scan (partial)	EMMA	No distress found (not exhaustively ruled out)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/16/2026 for the year ended 06/30/2025 (320 KB)*. **Current total assessed valuation (levy base): \$7,789,871,411 for FY2025-26 (+7.5% YoY)**. — AV trend 2022-23 \$6.44B → 2023-24 \$6.87B → 2024-25 \$7.25B → 2025-26 \$7.79B For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**